

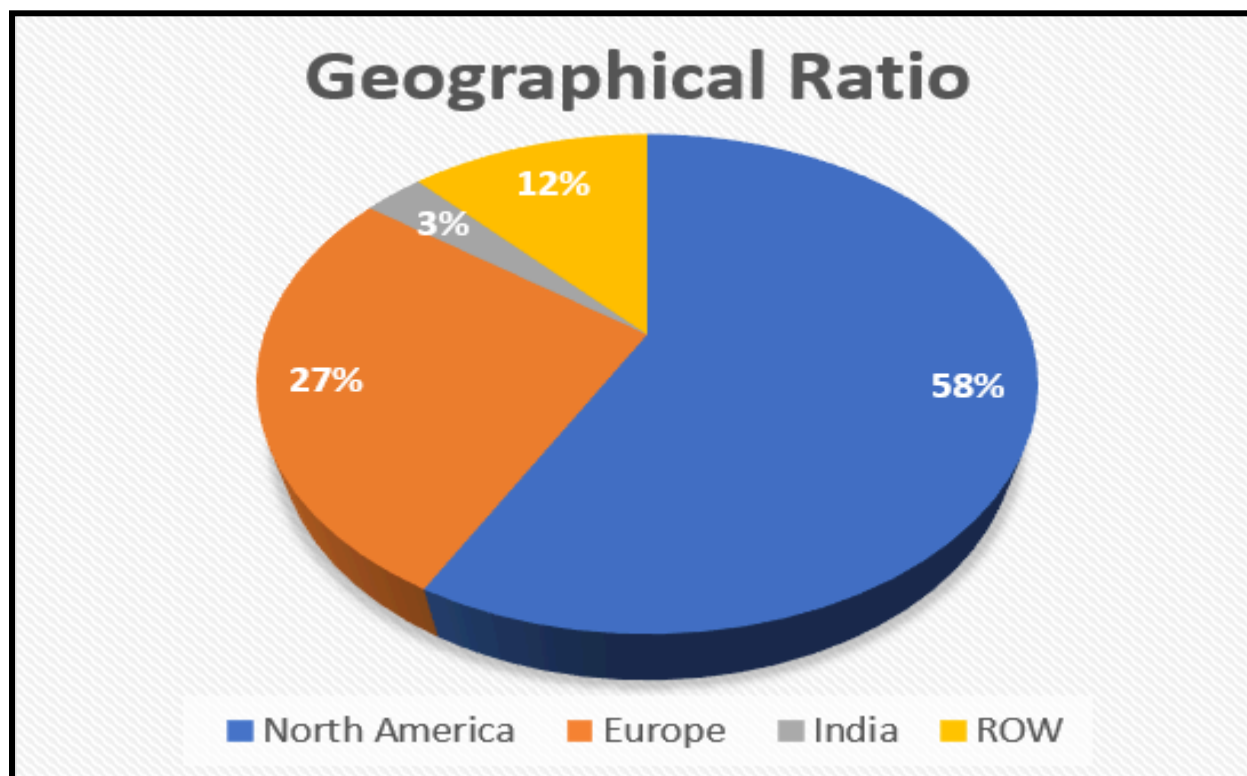
INFOSYS LTD — EQUITY RESEARCH NOTE

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1. COMPANY SNAPSHOT

Infosys Ltd is India's **second largest IT company** after TCS. It provides consulting, technology, and outsourcing services to global clients across industries, with revenue distributed as **North America (58%), Europe (27%), India (3%), and Rest of World (12%)**. The company is listed on both NSE and BSE with a current market capitalization of approximately **₹4,29,341 crore**. It operates in the IT Services sector. **Primary listed peers include TCS and HCL Technologies.**



2. FINANCIAL PERFORMANCE

Infosys has delivered consistent double-digit revenue growth over the past decade, with sales growing from ₹68,484 crore in FY17 to ₹1,78,650 crore in FY26, representing a **CAGR of ~11.42%**. **Growth peaked in FY22 and FY23 at ~21% and ~20% respectively**,

driven by strong post-COVID demand for digital transformation services globally. However, growth moderated sharply to 4.7% in FY24 before partially recovering to 9.61% in FY26, reflecting slower discretionary IT spending by clients in **North America and Europe — which together contribute 85% of Infosys revenue**.

Infosys Net profit margin has declined from **~21% in FY17 to ~16.50% in FY26**. Despite this decline, the company remains highly profitable, with net margins consistently above **16.4%** across the entire decade — a level most Indian companies across sectors cannot match. The margin compression is primarily attributable to **rising employee costs**, which represent the largest expense for an IT services company, alongside **increased investment in sales and marketing and technology and R&D** to remain competitive in a rapidly evolving industry.

Infosys demonstrates strong cash generation quality, with CFO/Sales consistently ranging between 16.8% and 19.02% over the past decade. This means that for **every ₹100 of revenue reported, Infosys converts approximately ₹18 into actual operating cash** — indicating that its reported profits are backed by real cash flows, not just accounting entries. This consistent cash conversion, combined with a **negative Cash Conversion Cycle(CCC) averaging 24 days**, confirms that Infosys collects cash from clients before paying its own obligations — a hallmark of an exceptionally well-run business.

3. RATIO ANALYSIS

Infosys **ROCE has improved from 24.5% in FY17 to 36.6% in FY26**, consistently exceeding India's average cost of borrowing(Kd) of 8-10%. This confirms that for every ₹100 of long-term capital deployed in the business, Infosys generates ₹36 of operating profit — meaning the company creates genuine value well above its cost of capital(COC). The consistent upward trend in ROCE over the decade indicates improving capital efficiency, driven by asset-light operations and strong operating leverage.

ROCE (36.6%) >COC (10%)

Return on Equity stands at 31.7% in FY26, which appears exceptional. However this must be interpreted carefully — **Infosys has been buying back its own shares, reducing total equity from ₹95,818 crore in FY25 to ₹92,852 crore in FY26**. A shrinking equity base inflates ROE even without a proportional increase in profitability. **Adjusting for this, the underlying business quality remains strong but ROE is partially buyback-driven.**

Infosys Debtor Days have remained stable at approximately **69 days** over the past decade, indicating disciplined receivables management and strong client relationships where payments are received reliably within 69 days of invoicing.

Infosys **Interest Coverage Ratio stands at 89.8x in FY26**, reflecting an almost debt-free balance sheet. This provides the company with significant financial flexibility to invest in acquisitions, R&D, and shareholder returns without being constrained by debt obligations.

4. INVESTMENT THESIS

We initiate coverage on Infosys with a **HOLD** recommendation at the current market price of ₹1,087, as the company demonstrates strong fundamentals but faces near term revenue growth headwinds in key markets. **At a P/E of 14.2x, Infosys trades at a significant discount to its peer TCS which commands 25x**, suggesting the market has already priced in the near term slowdown. We would revisit our recommendation to **BUY** on evidence of recovery in IT spending demand from North America and Europe, or a meaningful re-rating of the stock closer to its historical average P/E of ~20x.

5. KEY RISKS

Risk 1 — Geographic Concentration: Infosys derives 85% of its revenue from North America and Europe. Any economic slowdown, recession, or reduction in IT budgets in these geographies would disproportionately impact revenue growth.

Risk 2 — Currency Risk: As a predominantly export-driven company, Infosys earns the majority of its revenue in **US Dollars and Euros**. Any significant appreciation of the Indian Rupee against these currencies would directly compress revenue and margins when reported in INR terms.

Risk 3 — Employee Attrition: Infosys is an asset-light business whose primary asset is its 3 lakh+ employee base. Rising attrition rates, increasing employee costs, or inability to attract specialised talent in areas such as AI and cloud computing could materially impact delivery capability and EBITDA margins.
